



TEST CODE **22133020**

MAY/JUNE 2008

FORM TP 2008234

CARIBBEAN EXAMINATIONS COUNCIL
ADVANCED PROFICIENCY EXAMINATION

MANAGEMENT OF BUSINESS

UNIT 1 – PAPER 02

2½ hours

04 JULY 2008 (a.m.)

INSTRUCTIONS TO CANDIDATES

1. This paper consists of **THREE** sections.
2. Each section consists of **TWO** questions.
3. Candidates **MUST** answer **ONE** question from EACH section.
4. Each question is worth a total of **25 marks**.
5. The overall total for Paper 02 is **75 marks**.

SECTION A

MODULE 1: BUSINESS AND ITS ENVIRONMENT

Answer ONE question from this section.

1. In light of recent moves towards trade liberalisation and globalisation, many Caribbean businesses have been forced to adjust their operations in order to remain competitive.
- (a) Identify THREE disadvantages associated with trade liberalisation and outline TWO ways in which EACH disadvantage can negatively affect the operations of Caribbean businesses. [15 marks]
 - (b) Discuss TWO benefits of globalization to Caribbean countries. [6 marks]
 - (c) Justify ONE action that a business can take in order to remain competitive. [4 marks]

Total 25 marks

2. Mr Bakewell is contemplating going into the pizza business. He is unsure as to whether he should form a Private Limited Company, a Partnership or take out a franchise agreement with an already established business.
- (a) Discuss THREE advantages and THREE disadvantages of Mr Bakewell forming a Private Limited Company rather than a Partnership business. [19 marks]
 - (b) Outline THREE reasons why Mr Bakewell's business may stand a greater chance of success if he buys a franchise licence instead of attempting to establish his own business. [6 marks]

Total 25 marks

SECTION B

MODULE 2: MANAGEMENT OF PEOPLE

Answer ONE question from this section.

3. The manager of Body-Fit Swimwear Manufacturing Co. Ltd is contemplating introducing the concept of teams in his organisation. However, he is concerned that the existing conflict among his workers may hinder the execution of his plan.
- (a) Explain what is meant by the term 'team', and identify ONE situation in which teams are utilized. [3 marks]
 - (b) Outline THREE benefits and THREE drawbacks which the business may experience from the utilization of teams. [12 marks]
 - (c) Identify TWO possible causes of conflict among the workers and discuss TWO ways in which the conflict can be managed. [10 marks]

Total 25 marks

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4. (a) Discuss FOUR **main** principles of Frederick Taylor's Scientific Management Approach. [13 marks]
- (b) Explain THREE ways in which Frederick Taylor's Scientific Management Approach is relevant to modern business industry. [12 marks]

Total 25 marks

SECTION C

MODULE 3: BUSINESS FINANCE AND ACCOUNTING

Answer ONE question from this section.

5. Caesar's Publishing Company has three investment possibilities in Projects A, B and C. On account of its financial state, the company has decided that it can choose only one project. The initial investment for each project is \$200 000 and the discount rate is 10%. The cost and expected returns for each project are shown in the table below.

	Project A \$	Project B \$	Project C \$
Initial cash outlay Year 0	200 000	200 000	200 000
Cash Inflow			
Year 1	60 000	20 000	40 000
Year 2	40 000	80 000	60 000
Year 3	60 000	100 000	40 000
Year 4	40 000	40 000	60 000
Year 5	60 000	60 000	40 000

Present value of \$1 received at the end of a number of years at 10%.

Year 1	1	2	3	4	5
PV of \$1	0.90	0.85	0.78	0.72	0.68

- (a) Calculate the payback period and the net present value for EACH project. [21 marks]
- (b) Indicate which project the company should invest in, based on the payback method. [1 mark]
- (c) Indicate which project the Company should NOT consider investing in, using the net present value (NPV). [1 mark]
- (d) Outline ONE advantage that the NPV method has over the payback method. [2 marks]

Total 25 marks

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6. (a) Define the term 'budget'. [2 marks]
- (b) Explain FOUR ways by which a firm may benefit from having a budget. [8 marks]
- (c) Explain THREE shortcomings that a business firm may experience from having a budget. [6 marks]
- (d) Outline THREE differences between an Income Statement and a Balance Sheet. [9 marks]

Total 25 marks

END OF TEST